
GOVERNMENT OF ANDHRA PRADESH
Information Technology, Electronics & Communications Department

ANDHRA PRADESH

STARTUP & INNOVATION ECOSYSTEM

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1. Understanding Start-ups & Innovation

1.1 What is a Start-up?

A “Start-up”, in common understanding, is a newly established business that sets out to solve a genuine problem faced by society, customers, or an industry, by offering a unique product, service, or way of doing things. A Start-up is not simply a small or new company — it is an enterprise built around an idea that has the potential to grow rapidly, create jobs, and generate wealth.

“Innovation”, on the other hand, is the broader act of creating and applying new ideas — whether that results in a new product, a new service, a smarter process, or an entirely new business model. Every start-up is a vehicle for innovation, but innovation itself is much wider in scope and can take place in any organisation, research lab, government department, or even by an individual citizen.

1.2 Official Start-up Definition — Revised DPIIT Notification (4 February 2026)

The Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry, Government of India, administers the national “Start-up India” initiative and issues the official criteria that determine whether a business can be formally recognised as a Start-up. Under the revised notification issued on 4 February 2026, a Start-up is defined as:

An entity incorporated or registered in India that works towards the innovation, development or improvement of products, services or processes, or has a scalable business model with a high potential of employment generation or wealth creation.

To be recognised, the entity must be registered as one of the following legal forms:

- Private Limited Company
- Limited Liability Partnership (LLP)
- Partnership Firm

1.3 Start-up Eligibility Criteria

- The entity must be within 10 years of its date of incorporation or registration.
- Annual turnover must not have exceeded ₹200 crore in any financial year since incorporation.
- The entity must not have been formed by splitting up or reconstructing an already existing business.
- Start-up recognition remains valid until 10 years from incorporation, or until turnover crosses ₹200 crore — whichever happens first.

1.4 The New Deep Tech Start-up Category

Recognising the long gestation periods needed for research-driven ventures, the revised framework introduces a special “Deep Tech Start-up” category for enterprises engaged in advanced, research-intensive technologies, including:

- Artificial Intelligence (AI)
- Robotics
- Semiconductors
- Biotechnology
- Quantum Technologies

Start-ups recognised under this Deep Tech category enjoy an extended recognition period of up to 20 years, and a higher turnover ceiling of up to ₹300 crore — reflecting the longer runway such technologies typically need to reach commercial maturity.

2. The Andhra Pradesh Start-up Ecosystem — At a Glance

2.1 A Pioneer State

Andhra Pradesh has consistently been at the forefront of India’s innovation journey. In 2014, it became the first state in the country to introduce a dedicated Start-up and Innovation Policy — setting a benchmark that many other states later followed. Since then, the state has continued to refine its approach, culminating in the Andhra Pradesh Innovation & Start-up Policy (4.0) 2024–2029.

2.2 Key Numbers

Indicator	Current Standing
Start-ups in Andhra Pradesh	6,600+
DPIIT-recognised start-ups	2,400
Women-led start-ups	1,159
Active incubators in the state	46 (across government & private institutes)
Centres of Excellence (CoEs)	6, spanning IoT & AI, Biotech, Medical Devices, Maritime, Industry 4.0 and Rural Innovation
DPIIT State Start-up Ranking (2022)	“Leader” category
Ease of Doing Business	Ranked easiest state, 3 years running

2.3 Sector-wise Start-up Concentration

Start-ups in Andhra Pradesh are spread across a wide mix of sectors, with Information Technology, Agriculture and Healthcare forming the largest share:

Sector	Share of Startups
IT Services	27%
Agriculture	16%
Healthcare & Life Sciences	14%
Education	12%
Construction	12%
Food & Beverages	10%
Professional & Commercial Services	8%

2.4 Why Andhra Pradesh?

- Almost 50% of India's DPIIT-recognised startups are based in Tier-2 and Tier-3 cities — and Andhra Pradesh's cities such as Visakhapatnam, Vijayawada, Kakinada, Tirupati, Anantapur and Kurnool offer a lower cost of living and operations compared to saturated metro hubs.
- India is the world's 3rd largest startup ecosystem (after the USA and China), and is projected to keep growing at 12–15% annually.
- The state offers a full-stack ecosystem — from school-level innovation programmes to dedicated funding, incubation and global market linkages.

3. Andhra Pradesh Innovation & Start-up Policy (4.0) 2024–2029

The earlier AP Information Technology Policy (2021–24) lapsed on 30 September 2024. To keep pace with rapid technological change and evolving entrepreneur needs, the Government of Andhra Pradesh notified the new Innovation & Start-up Policy (4.0) vide G.O.Ms.No.3, dated 24 March 2025, valid for five years (2024–2029).

3.1 Vision

To position Andhra Pradesh as a Global Startup Hub for Innovation, Incubation & Entrepreneurship — fostering a robust ecosystem that supports startup growth, drives economic development, and promotes inclusivity and sustainability.

3.2 Targets (2024–2029)

1. Build the ecosystem through a Hub-and-Spoke model covering the entire state.
2. Create 20,000 new start-ups, generating at least 1 lakh jobs.
3. Support the emergence of 20 Soonicorns and 10 Unicorns.
4. Establish or expand 10 Centres of Excellence across Deep Tech/AI/ML, Blockchain, XR (VR/AR), IoT, Quantum Computing, Climate Tech, Healthtech/Biotech, Advanced Manufacturing, Automotive/EV, and Cybersecurity/Cloud Computing.
5. Engage 15 key government departments, each allocating ₹10–20 crore annually to run innovation challenges and hackathons, delivering at least 25 Proof-of-Concepts (POCs) with start-ups every year.

3.3 Objectives

- Support the adoption of innovative technologies across sectors.
- Drive the innovation economy of the state.
- Leverage Andhra Pradesh’s diverse economic base, industrial strength, and raw material availability.
- Connect entrepreneurs to domestic and global markets.
- Support grassroots entrepreneurship.
- Promote inclusivity and diversity in the start-up ecosystem.
- Leverage Government of India schemes for emerging-sector start-ups.

4. Futuristic & Disruptive Focus Sectors

As part of Policy 4.0, the Andhra Pradesh Innovation Society (APIS) has identified eight future-facing sectors where the state will concentrate incubation support, funding, and infrastructure development:

No.	Focus Sector	Why It Matters
01	Artificial Intelligence (AI)	Core enabling technology across every other sector
02	Agri & Aqua Tech	Builds on AP's agricultural and coastal strengths
03	Health, MedTech & Pharma	Anchored by AMTZ Visakhapatnam
04	Sports & Tourism	Leverages the state's coastline, heritage and events
05	Green Technologies & Renewable Energy	Supports sustainability and climate goals
06	Drones & Robotics	High-growth deep-tech manufacturing niche
07	EVs & e-Mobility	Aligned with national EV adoption push
08	Semiconductors	Strategic national priority sector

5. The Hub-and-Spoke Ecosystem — and What an Incubator Really Does

5.1 What is an Incubator?

An incubator is an institution that supports early-stage start-ups by providing physical workspace, mentorship, prototyping facilities, funding linkages, and access to networks of investors, corporates and experts — helping an idea survive its most fragile early phase and grow into a viable business. Andhra Pradesh currently hosts 46 incubators spread across 9 government institutes, 1 private-sector entity, and several private universities and colleges, together offering close to 1 lakh sq. ft. of state-of-the-art incubation space in Visakhapatnam, Kakinada, Tirupati and Vijayawada/Guntur.

5.2 The Ratan Tata Innovation Hub (RTIH) and Spoke Centres

To scale this support state-wide, the Government of Andhra Pradesh is setting up the “Ratan Tata Innovation Hub” (RTIH) at Amaravati as the apex Hub, supported by 5 regional Spoke Centres located in Rajahmundry, Vijayawada, Visakhapatnam, Tirupati and Anantapur — covering the Uttara Andhra, Godavari, Central Andhra, South Andhra and Rayalaseema zones respectively.

- RTIH (the Hub): builds deep infrastructure, global networks, and specialised Centres of Excellence, and guides the Spokes so that effort is not duplicated.
- Spoke Centres: focus on ground-level implementation — regional incubation, local mentor networks, and direct support for start-ups and MSMEs in their zone.
- The Hub and Spokes operate on twin funding — Government seed grants combined with corporate/promoter contributions — and are expected to become progressively self-sustaining.

5.3 What RTIH Offers

- Incubation support and hand-holding for venture capital funding.
- Centres of Excellence in AI and other emerging technologies, plus high-performance computing infrastructure.
- MSME facilitation centre, banking linkages, market linkages and raw-material sourcing support.
- Prototyping centre, outdoor testing tracks, 3D printing, semiconductor cleanroom, robotics labs and EV/autonomous-vehicle test tracks.
- A global network of universities, VC funds, corporate HQs, research labs and management consulting firms.

5.4 What Spoke Centres Offer

- Regional incubation space, mentor networks and Fab labs/tinkering labs.
- Ideation huddles, AI and deep-tech workshops, and acceleration/immersion programmes with corporates.
- Support for MSMEs — feasibility studies, prototyping/tool rooms, funding facilitation, and market linkages/exports.
- Facilitation of hackathons, training programmes, and tech partnerships with trade agencies such as USTDA and KOTRA.

5.5 Governance

Each Hub and Spoke is governed by a Board of Governors (a President/promoter, co-promoters, independent experts, and government/academia/industry representatives), supported by an Executive Committee (CEO, CFO, COO) responsible for day-to-day operations, and specialised teams covering Investment, Incubation & Acceleration, Ecosystem Development, Finance, and Marketing & Communications.

6. Financial Incentives for Start-ups

The following incentives, notified under Policy 4.0, are available to start-ups incubated at the Hub/Spoke centres as well as to independent, eligible start-ups:

Incentive	Details
Startup Grants	Up to ₹2 lakh upfront grant, plus phase-wise support up to ₹15 lakh (capped at ₹15 lakh total per startup) to move from idea to proof of concept.
Grants for Women/BC/SC/ST/Minority/Differently-Abled-led Startups	Phase-wise grant up to ₹20 lakh in total per startup.
Interest Subsidy	8% subsidy on term loans for 3 years.
Seed Funding with Equity	Up to ₹50 lakh, based on an equity-sharing model.
Go-to-Market Support	Up to ₹50 lakh, based on an equity-sharing model.
Support for Events/Fairs	75% of costs (up to ₹3 lakh) for registration, travel, lodging & boarding — one event per year per startup.
Accelerator Programme Support	50% fee reimbursement, up to ₹2 lakh per programme, maximum 2 programmes per startup.
Patent Filing Cost Support	50% of expenses — up to ₹2 lakh for Indian patents, ₹10 lakh for foreign patents.
SGST Reimbursement	100% reimbursement for 5 years.
Seed Funding for Deep Tech & Advanced Tech Startups	Up to ₹1 crore, based on need.
Rental Subsidy for Workstations	100% rental subsidy for up to 30 employees, for one year, in notified co-working/neighbourhood workspaces or MSME parks.
Support for Incubators/CoEs/Accelerators (Govt. institutes)	Up to 100% matching grant under Government of India schemes, capped at ₹50 lakh.

7. Non-Financial Assistance

7.1 AP Innovation Passport (APIP)

Any organisation that receives government financial support to set up or expand its facilities must, in return, provide unrestricted access to all start-ups registered on the AP Start-up One portal — ensuring that public investment in infrastructure benefits the wider start-up community, not just individual beneficiaries.

7.2 AP Start-up One Portal

The AP Start-up One Portal is the state's single-window digital platform for start-ups, incubators, investors and mentors. It offers:

- Information on sectoral policies, opportunities and funding schemes, with a single-window interface to apply for benefits.
- Integration with the national Start-up India portal for live data, with plans to link further with other central and state portals.
- Real-time application tracking, and notifications on new funding opportunities, programmes and policy changes.
- A dynamic grievance-redressal workflow that escalates unresolved issues up to the CEO of APIS.
- Directory access to mentors, authorities and support staff, along with helpline and email support.

8. Programmes, Outreach & Events

Beyond funding, the Hub-and-Spoke network runs a structured calendar of programmes to build entrepreneurial capability at every stage:

- Entrepreneurship Awareness Programmes — introductory sessions for students, researchers and first-time founders.
- Short-Term Programmes — boot camps and immersion programmes for hands-on exposure.
- Medium-Term Training — acceleration programmes and upskilling courses.
- Flagship Events — sub-sector-specific and theme-based conferences, showcases and investor-connect events.
- Innovation Challenges & Hackathons — run jointly with 15 key government departments to co-create Proof-of-Concepts (at least 25 per department, per year).
- “One Family – One AI Use Case” — a Spoke-led initiative to spread everyday AI adoption to the household level.

The Government of Andhra Pradesh provides budgetary support, along with backing from local institutions, to ensure these outreach and training programmes run smoothly across the state.

9. How Start-ups Can Access State Support

9.1 Through RTIH & Spoke Centres

Start-ups can approach the Ratan Tata Innovation Hub or their nearest Spoke Center directly for hand-holding across every growth stage — mentoring, financing, marketing, skilling and incubation.

9.2 Through the AP Start-up One Portal

Start-ups may also apply directly online for:

Assistance Requests

- Funding applications — loans and equity investment.
- Mentorship requests from experienced industry mentors.
- Incubation services in state-owned or private incubators.
- Other support — legal assistance, marketing support, and technology resource access.

Government Scheme Requests

- Financial aid applications — grants, subsidies, low-interest loans.
- Infrastructural support requests.
- Regulatory guidance and compliance assistance.
- Other Government of India / Government of Andhra Pradesh scheme applications.

10. Policy Validity & Implementation

10.1 Policy Period

- Valid for 5 years from the date of notification, or until superseded by a new policy.
- Amendments apply prospectively only — no benefit already granted will be withdrawn.
- The Government of Andhra Pradesh may extend the policy period as required, and it applies to the entire state.

10.2 Andhra Pradesh Innovation Society (APIS) — The Nodal Agency

APIS, incorporated in 2015 under the ITE&C Department, is the State Nodal Agency for driving innovation, entrepreneurship and start-up growth. Its responsibilities include:

- Providing a platform connecting entrepreneurs, researchers, students, citizens and government.
 - Operating regional units and specialised centres in major cities.
 - Supporting government departments and regional centres in running POCs, hackathons and start-up challenges.
 - Coordinating RTIH and Spoke Centre activities, and processing incentive claims.
 - Reporting Andhra Pradesh's performance for the DPIIT State Start-up Ranking and Ease of Doing Business assessments.
 - Identifying private-sector operators to run state-owned incubators under PPP models.
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